starve it. By cutting taxes, I wanted not only to stimulate the economy but to curb the growth of government and reduce its intrusion into the economic life of the country.

By the way, that philosopher, Khaldoon, and I weren't alone in believing lower tax rates result in higher revenues for government. In 1962, President John F. Kennedy said, "Our true choice is not between tax reduction on the one hand and avoidance of large federal deficits on the other; it is increasingly clear that no matter what party is in power, as long as our national security needs keep rising, an economy hampered by restrictive tax rates will never produce enough revenues to balance the budget—just as it will never produce enough jobs or enough profits. In short, the paradoxical truth is that the tax rates are too high today and tax revenues are too low and the soundest way to raise revenues in the long run is to cut rates now."

Fortunately, our party won a majority in the Senate in the 1980 election. But I knew we faced a Democratic majority in the House of Representatives that had a very different view about cutting the tax rates and reducing the role of government.

In Sacramento, I learned through experience that it was important to develop an effective working relationship with my opponents in the legislature, our political disagreements notwithstanding. A few days after the inauguration, I invited Tip O'Neill, the Speaker of the House, over to see me in the White House.

He was full of Irish warmth, a great storyteller, and I liked him. But it was evident he had come to the Oval Office to set me straight on how things operated in Washington.

"You're in the big leagues now," he said.

I felt that my eight years as governor of one of the largest states in the union hadn't exactly been the minor leagues. I told him I thought I'd been in the big leagues for quite a while.